

WATERBOY

Hydration Impacts Performance



Ronan Hwang

TABLE OF CONTENTS

Product Description	2
Key Market Problem	2
Market Size and Growth	2
Go To Market Strategy	2
Comptetitors	3
Financial and Business Metrics	3
Organizational Talent & Expertise	4
Exit Opportunities	5
Appendices and References	6

PRODUCT DESCRIPTION

Waterboy is a health-tech company focused on improving users' wellness through intelligent hydration. Our product, Waterboy, is a smart water bottle paired with an app that monitors hydration levels in real time. We track key biometric data such as heart rate, activity level, and sweat loss to provide personalized hydration insights. Unlike competitors that specialize either in health-tech wearables or single-function smart bottles, Waterboy uniquely integrates hydration tracking with physiological metrics, making it both affordable and essential for athletes and health-conscious young adults.

The investment opportunity lies within the rapidly growing health-technology market. Through extensive research and MVP testing, Waterboy is positioned as a cost-effective alternative to premium competitors that charge hundreds every year. By capturing even 10% of our initial target market, we project revenues exceeding \$780,000, with significant expansion potential across colleges and athletic centers nationwide. Waterboy offers investors the opportunity to support a differentiated product that positions a human necessity as the next front-runner in wellness technology.

We are seeking a \$100,000 equity investment in exchange for 39% ownership of Waterboy. This capital will fund product development, and key marketing required to boost the product. With projected revenues of over \$780,000 in Year 1 and a five-year investor IRR of 11%, our structure gives investors meaningful ownership in a company positioned for rapid growth. Additionally, our model predicts a 1.55× MOI, indicating our strong capital efficiency regardless of our IRR.

KEY MARKET PROBLEM

We are targeting student-athletes and health-conscious young adults who struggle to consistently monitor and maintain proper hydration throughout their busy routines. A major pain point for this audience is sustaining healthy hydration levels every day. Even though hydration is critical for preventing cramps, reducing fatigue, and maintaining focus, it often falls to the bottom of people's daily priorities.

Our product integrates sensors built directly into the bottle's handle. When gripped, these sensors capture real-time data such as heart rate, activity level, and sweat loss, and sends them to our app's machine learning engine. The app then analyzes this information to provide personalized hydration recommendations and a clear, up-to-date view of the user's hydration status. By maintaining healthy hydration levels, customers gain clearer thinking, sustained energy, and improved physical resilience. Our goal is to make hydration an intentional, active part of a person's daily routine rather than an afterthought.

MARKET SIZE AND GROWTH

We plan to launch in Florida, where hydration is a year-round priority due to the state's heat, humidity, and strong athletic culture. Customers in this region place high value on performance, recovery, and lifestyle optimization, yet lack accessible tools to monitor hydration effectively.

Our total addressable market includes approximately 130,000 people: about 7,500 college student-athletes across Florida's major universities, 1,200 athletes at IMG Academy, and roughly 5% of the 2.5 million young working adults (ages 20–29) concentrated in cities such as Miami, Orlando, and Tampa. We also vision the growth of this market to be extremely strong. Currently, connected fitness and biometric wellness markets are each projected to grow 10–15% annually over the next five years as more consumers adopt health-tracking devices and integrate wellness tech into their daily routines. College athletics participation also continues to rise, and increasing temperatures make hydration monitoring not just a convenience, but a necessity. Meanwhile, the broader wellness technology sector has already become a \$20+ billion industry and continues expanding rapidly among Gen Z and young professionals seeking data-driven performance insights.

We project approximately 11,000 customers in Year 1, capturing around 5% of potential college athletes, 85% of IMG Academy athletes, and 8% of health-conscious working adults in Florida. With the industry's CAGRs of 10–15%, we expect Waterboy to grow even faster in the early years. We perceive Waterboy to growth ~20% in Years 2 and 3, before normalizing to 15% in Year 4 and 12% in Year 5. Our elevated early growth is driven by a highly targeted marketing strategy. With social media, the younger demographics accelerate awareness efficiently, and with our partnerships with high schools and colleges, we are confident that our planned investments will build strong brand visibility and trust. In addition, our market research indicates a clear unmet need, and with the right positioning, Waterboy is positioned to thrive in this market.

GO TO MARKET STRATEGY

Our launch strategy begins with IMG Academy, leveraging its concentrated student-athlete population to establish early credibility and drive rapid adoption. After proving product-market fit, we will expand to universities across Florida, offering exclusive team bundles for athletic programs and targeted discounts for college students. With the rise of NIL deals, we see a significant opportunity to collaborate directly with college athletes to accelerate awareness and strengthen brand authenticity. Beyond colleges, we plan to partner with influencers and recognizable public figures, including former NFL players Philip Rivers and Montez Sweat. We look to target those particularly because of the potential to naturally align our brand with their names and create a memorable and humorous marketing campaign.

By Year 3, we aim to expand into retail and national distribution, including Dick's Sporting Goods, Amazon, gyms, and wellness centers, supported by in-store demos and promotional events. Our initial marketing and sales budget is \$40,000, allocated for

digital advertising and partnerships, but look to increase that as the years go on. A significant portion of our marketing fund will go toward providing deals with athletic programs to accelerate adoption and word-of-mouth growth. As we scale beyond Florida, we will continue our routine with other colleges and athletic centers, while adding partnerships with gyms, wellness studios, and select retail distributors. By starting with a focused, high-value demographic and expanding outward, Waterboy looks to build a loyal customer base and positions itself as the leading hydration-tracking solution for athletes and health-conscious young professionals nationwide.

COMPETITORS

Waterboy's competitors fall into two primary categories: fitness wearables and smart water bottles. In the wearable segment, brands like Whoop and Oura dominate the recovery and performance-tracking space, with annual subscription models costing between \$200 and \$500. These products offer valuable insights, but their high price points and subscription requirements create barriers for younger consumers. In the smart bottle market, companies such as LARQ and WaterH sell products priced around \$89–\$99, focusing mainly on water purification and basic intake tracking. While effective within their niches, these devices do not integrate real-time biometric data. Future competition may also emerge from sports drink brands like Gatorade and BODYARMOR, which have begun exploring hydration solutions such as sweat patches. However, no product currently combines hydration tracking with real-time biometric monitoring in a single, affordable water bottle, putting Waterboy in its own unique category.

We are offering a one-time price of \$70.99 for both the bottle and the app, Waterboy delivers a personalized, data-driven hydration solution at a lower cost than premium wearables and with far more functionality than traditional smart bottles. With bulk buying and decreasing technology prices, we look to profit within the first year and continue to expand rapidly from there.

FINANCIAL AND BUSINESS METRICS

Waterboy's long-term viability depends on scaling efficiently, maintaining strong unit economics, and optimizing capital deployment. Since Waterboy operates as a consumer product business with low fixed assets, metrics such as revenue growth, gross margin, EBITDA margin, and net income margin are critical indicators of whether the business is scaling effectively and generating profitability. We are targeting revenue growth rates of 20% in Years 2 and 3, followed by 15% in Year 4 and 12% in Year 5. Gross margin is projected to expand from 25.6% in Year 1 to over 33% by Year 5, while EBITDA margin grows from 16% to 25% over the same period. These trends demonstrate that Waterboy

converts growth directly into earnings, supported by a lean operating model and efficient campus-focused marketing.

Our return metrics further highlight our effective use of capital. Return on assets (ROA) for Waterboy is projected at 51.5% in Year 1, stabilizing around 32% by Year 5, while return on invested capital (ROIC) remains above 40% across the forecast period. Return on equity similarly starts high at 55.7% and maintains strong performance over time. These metrics confirm that Waterboy's asset-light model and minimal CapEx requirements enable the business to generate strong returns for investors and efficiently deploy equity capital.

While Waterboy's current ratio starts above 11 in Year 1 and rises to over 41 by Year 5, we plan to strategically deploy this cash to either increase dividends for investors or reinvest in marketing and growth initiatives, particularly through campus-based campaigns and NIL partnerships. We are aware that these exceptionally high liquidity levels indicate we may be holding onto cash longer than necessary and prepared to take appropriate action. Our cash/revenue ratio also improves from 21% to over 50%, reflecting efficient cash conversion and scalable operations. These projected metrics confirm that our model not only supports sustainable growth and efficient capital deployment, but also provides the flexibility to capture the upside through marketing and customer engagement.

ORGANIZATIONAL TALENT AND EXPERTISE

Waterboy is led by a focused, driven, and highly skilled team with diverse backgrounds in health-tech, finance, data science, and engineering. At launch, the company will operate with three full-time leaders and two part-time specialists: Ronan Hwang (CEO), Jordan Belfort (CFO), Peter Brand (COO), and part-time employees James Hamm and Marcus Wood.

CEO – Ronan Hwang (Full-Time)

Ronan leads Waterboy's strategic vision, long-term growth planning, and major company decisions. With previous experience in the health-tech space (Ganance), he brings deep knowledge of hydration science and digital wellness products. As a data science major with programming experience, he also collaborates closely with the COO on app development and product design, ensuring alignment between technology, brand integration, and customer needs.

CFO – Jordan Belfort (Full-Time)

Jordan oversees financial planning, capital allocation, and all investor-facing responsibilities. His strongest asset is his networking and sales expertise. With prior experience on Wall Street, he brings a proven ability to build relationships and secure partnerships. Jordan will be pivotal in establishing NIL collaborations, partnerships, and broader college-athlete engagements. His charismatic personality and communication skills make him a perfect fit for connecting with our core demographic of student-athletes and young professionals.

COO – Peter Brand (Full-Time)

Peter manages Waterboy’s operations, data systems, and back-end technical workflows. He specializes on the integration between the app, hardware, and customer delivery, and will ensure that they function seamlessly together when we take Waterboy to market.

Data / Software Engineer – James Hamm (Part-Time)

James, an MIT Mechanical Engineering/ Computer Science graduate, supports app development, software reliability, and product design. He works closely with Peter to enhance product features, improve technical performance, and accelerate development timelines.

Marketing Associate - Marcus Wood (Part-Time)

Marcus assists Jordan in managing retail partnerships, influencer collaborations, and marketing campaigns. His Economics and Finance degree from the University of Florida equips him with strong analytical skills, enabling him to contribute to our market strategy, customer insights and overall brand growth.

Future Hiring

As Waterboy moves into retail distribution and expands its customer base, the company plans to add one part-time hire with experience in selling into retail environments and managing regulatory requirements. We hope that this hire can smoothly coordinate strategy with the CEO and CFO.

EXIT OPPORTUNITIES

A clear exit strategy for investors is crucial to Waterboy’s value proposition. Based on our financial projections and DCF analysis, we estimate a terminal enterprise value of approximately \$2.62 million and a net terminal value of \$2.76 million. The most realistic exit opportunity is a strategic acquisition by a larger health-tech, wearable, or hydration companies. We vision the possibility of firms such as WHOOP, Oura, or Gatorade expanding into smart hydration as their current products could immediately complement Waterboy. Our growing free cash flow, strong gross margins, and high ROIC makes Waterboy an attractive acquisition to expand product lines. Using a conservative 3× revenue sales multiple from the market, this strategic exit provides most of the terminal value that drives investor returns.

A secondary exit pathway is a financial acquisition by an early-stage private equity or growth equity fund once Waterboy establishes recurring revenue through college partnerships, retail expansion, and athlete endorsements. Given our rapidly improving cash conversion, a PE buyer could scale Waterboy nationally with limited additional capital. This exit aligns with the investor return analysis, where our terminal value represents the majority of investor upside and contributes to a projected MOI of 1.50× and an IRR of 11%. By Year 5, Waterboy’s combination of strong margins, expanding market presence, and predictable cash flow positions the company for a compelling exit that provides meaningful liquidity to early investors.

INVESTOR RETURN ANALYSIS

Waterboy										
Investor Return Analysis										
Years	0	1	2	3	4	5				
Revenue	\$ -	\$ 780,890	\$ 937,068	\$ 1,180,706	\$ 1,357,812	\$ 1,520,749				
Total Expenses	\$ -	\$ 669,133	\$ 754,080	\$ 947,956	\$ 1,073,466	\$ 1,173,194				
Net Income	\$ -	\$ 111,757	\$ 182,988	\$ 232,749	\$ 284,346	\$ 347,555				
(+) Depreciation	\$ -	\$ 10,880	\$ 10,880	\$ 11,170	\$ 11,170	\$ 11,170				
(-) Changes in WC	\$ -	\$ (7,811)	\$ (12,628)	\$ (31,615)	\$ (51,076)	\$ (59,654)				
(-) CapEX	\$ -	\$ (36,900)	\$ (25,000)	\$ (21,500)	\$ (10,000)	\$ (10,000)				
Annual Cash Flow Before Financing	\$ -	\$ 77,925	\$ 156,240	\$ 190,804	\$ 234,440	\$ 289,071				
Equity Raised	\$ 100,000	\$ -	\$ -	\$ -	\$ -	\$ -				
Debt Raised	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -				
Dividends	\$ -	\$ (11,176)	\$ (18,299)	\$ (69,825)	\$ (127,956)	\$ (156,400)				
Total Cash Flow Before Sale	\$ 100,000	\$ 66,750	\$ 137,941	\$ 120,979	\$ 106,484	\$ 132,672				
Enterprise Value						\$ 2,623,865				
Debt						\$ -				
Excess Cash						\$ 132,672				
Net Terminal Value						\$ 2,756,536				
Total Cash Flows to Equity	\$ -	\$ 11,176	\$ 18,299	\$ 69,825	\$ 127,956	\$ 156,400				
Post-Money Valuation	\$ 100,010									
Pre-Money Valuation	10									
Investor Ownership	39%									
Cash Flow to Investor	\$ (100,000)	\$ 4,359	\$ 7,137	\$ 27,232	\$ 49,903	\$ 60,996				
Investor IRR	10.6%									
MOI	1.5									

FINANCIAL ASSUMPTIONS

Waterboy							
Assumptions							
Line Item	Notes	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Unit Economics and Volume							
Customers	Assuming growth rate of 20%, 20%, 15%, 12%	-	11,000	13,200	15,840	18,216	20,402
Customers / Week	Averaged out	-	212	254	305	350	392
Customers % in Dec	Used to calculate receivables in EOY	-	0.12	0.12	0.12	0.12	0.12
Revenue/ Unit(Bottle + App)	Assuming that inflation and demand will drive price up 5%		\$ 70.99	\$ 70.99	\$ 74.54	\$ 74.54	\$ 74.54
Revenue / Year	Averaged out	\$ -	\$ 780,890	\$ 937,068	\$ 1,180,706	\$ 1,357,812	\$ 1,520,749
COGS Assumptions							
Production Cost/ Unit	Assuming that inf/other political factors could drive price	\$ -	\$ 30	\$ 30	\$ 32	\$ 32	\$ 32
Shipping Cost / Unit	Likewise from above	\$ -	\$ 2	\$ 2	\$ 2	\$ 4	\$ 4
Labor Cost(Full Time) / Hr	3 F.T. working 40 hr/wk for 40 weeks	\$ -	\$ 35	\$ 35	\$ 40	\$ 40	\$ 40
Labor Cost(Part Time) / Hr	2 P.T. working 25 hr/wk for 30 wks., add another emp. in Y3	\$ -	\$ 20	\$ 20	\$ 25	\$ 25	\$ 25
Labor Cost/ Yr		\$ -	\$ 198,000	\$ 198,000	\$ 248,250	\$ 248,250	\$ 248,250
Warehouse Lease	Will rent warehouse in FL for 5 years, assume inf	\$ -	\$ 31,000	\$ 31,000	\$ 33,000	\$ 33,000	\$ 33,000
Total Production Cost/ Yr		\$ -	\$ 581,000	\$ 651,400	\$ 819,810	\$ 937,026	\$ 1,015,719
Opex Assumptions							
G&A Cost/ Yr		\$ -	\$ 5,000	\$ 5,000	\$ 5,000	\$ 5,000	\$ 5,000
Marketing Cost/ Yr		\$ -	\$ 40,000	\$ 50,000	\$ 70,000	\$ 75,000	\$ 90,000
Overhead Cost/ Yr		\$ -	\$ 5,000	\$ 5,000	\$ 7,000	\$ 7,000	\$ 9,000
Website Hosting/ Month		\$ -	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10
Website Hosting/ Yr		\$ -	\$ 120	\$ 120	\$ 120	\$ 120	\$ 120
Certifications & Licenses/ Yr		\$ -	\$ 20,000	\$ 20,000	\$ 20,000	\$ 20,000	\$ 20,000
Total		\$ -	\$ 70,120	\$ 80,120	\$ 102,120	\$ 107,120	\$ 124,120
Tax Rate		6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Working Capital Assumptions							
Day Sales Outstanding	Assuming that customers pay 30 days later (credit card)	0	30	30	30	30	30
Salaries Payables Outstanding	Assume we can pay employees no later than 30 days	0	30	30	30	30	30
Inventory Units Held	Assuming that we hold 5% extra for first 2 yrs, then increase	0	550	660	1267	1822	2040
Capex Assumptions							
Annual Capex							
Workbench (Qty. 3)	1 for each fulltime employee	\$ -	\$ 900	\$ -	\$ 300	\$ -	\$ -
Laptops (Qty.5)	1 for each employee	\$ -	\$ 6,000	\$ -	\$ 1,200	\$ -	\$ -
App		\$ -	\$ 30,000	\$ 25,000	\$ 20,000	\$ 10,000	\$ 10,000
Total Capex		\$ -	\$ 36,900	\$ 25,000	\$ 21,500	\$ 10,000	\$ 10,000
Annual Depreciation							
Workbench	Assuming 5 yr dep straight line	\$ -	\$ 180	\$ 180	\$ 230	\$ 230	\$ 230
Laptop	Assuming 5 yr dep straight line	\$ -	\$ 1,200	\$ 1,200	\$ 1,440	\$ 1,440	\$ 1,440
App	Assuming 10 yr dep straight line from total app capex	\$ -	\$ 9,500	\$ 9,500	\$ 9,500	\$ 9,500	\$ 9,500
Total Depreciation		\$ -	\$ 10,880	\$ 10,880	\$ 11,170	\$ 11,170	\$ 11,170
Financing Assumptions							
Common Stock Outstanding		\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000
Debt Outstanding @ EOY							
Average Debt Outstanding							
Interest							
Dividends	Gradually increase dividend %	\$ -	\$ (11,176)	\$ (18,299)	\$ (69,825)	\$ (127,956)	\$ (156,400)

Note: We decided that it would be better to use Customers instead of units because it would enable us to account for repeated engagement, as customers often make additional purchases or continue after purchasing their first bottle. We also used our timeline with marketing (IMG) to project our customers for the first year.

FINANCIAL METRICS

Waterboy						
Key Financial Ratios						
Years	0	1	2	3	4	5
Growth						
Revenue Growth %		N/A	20.0%	26.0%	15.0%	12.0%
EBITDA Growth %		N/A	58.4%	25.9%	21.2%	21.4%
Profitability						
Gross Margin %		25.6%	30.5%	30.6%	31.0%	33.2%
EBITDA %		16.6%	21.9%	21.9%	23.1%	25.0%
Net income margin (Return on Sales)		14.3%	19.5%	19.7%	20.9%	22.9%
Returns						
Return On Assets		51.5%	29.3%	33.4%	33.0%	31.7%
Return on Invested Capital		55.7%	50.1%	44.1%	41.5%	39.7%
Return on Equity		55.7%	50.1%	44.1%	41.5%	39.7%
Liquidity						
Current ratio		11.7	21.0	24.4	32.1	41.6
Quick ratio		10.7	19.8	22.4	29.3	38.4
Working capital		\$ 174,561	\$ 325,130	\$ 477,725	\$ 635,285	\$ 827,610
Working Capital						
Cash/revenue		21.35%	33.35%	37.78%	43.03%	50.50%
AR DOH		2	3	3	3	3
Inventory DOH		(5)	(10)	(13)	(19)	(22)
Salaries payable DOH		(5)	(9)	(8)	(8)	(7)
Leverage						
Debt Service Coverage		12	19	23	28	34
Interest Coverage		-	-	-	-	-
Debt/Equity		0.0	0.0	0.0	0.0	0.0

FIVE YEAR SUMMARY PRO FORMA

Waterboy						
Pro Forma Income Statement						
Years	0	1	2	3	4	5
Revenue	\$ -	\$ 780,890	\$ 937,068	\$ 1,180,706	\$ 1,357,812	\$ 1,520,749
Cost of Goods sold:	\$ -	\$ (581,000)	\$ (651,400)	\$ (819,810)	\$ (937,026)	\$ (1,015,719)
Water Bottle	\$ -	\$ 330,000	\$ 396,000	\$ 506,880	\$ 582,912	\$ 652,861
Shipping Costs	\$ -	\$ 22,000	\$ 26,400	\$ 31,680	\$ 72,864	\$ 81,608
Labor / Year	\$ -	\$ 198,000	\$ 198,000	\$ 248,250	\$ 248,250	\$ 248,250
Warehouse	\$ -	\$ 31,000	\$ 31,000	\$ 33,000	\$ 33,000	\$ 33,000
Gross Profit:	\$ -	\$ 199,890	\$ 285,668	\$ 360,896	\$ 420,786	\$ 505,030
Operating Expenses	\$ -	\$ (70,120)	\$ (80,120)	\$ (102,120)	\$ (107,120)	\$ (124,120)
General and Administration	\$ -	\$ 5,000	\$ 5,000	\$ 5,000	\$ 5,000	\$ 5,000
Sales and Marketing	\$ -	\$ 40,000	\$ 50,000	\$ 70,000	\$ 75,000	\$ 90,000
Overhead	\$ -	\$ 5,000	\$ 5,000	\$ 7,000	\$ 7,000	\$ 9,000
Website hosting	\$ -	\$ 120	\$ 120	\$ 120	\$ 120	\$ 120
Certifications & Licences	\$ -	\$ 20,000	\$ 20,000	\$ 20,000	\$ 20,000	\$ 20,000
EBITDA	\$ -	\$ 129,770	\$ 205,548	\$ 258,776	\$ 313,666	\$ 380,910
Depreciation:	\$ -	\$ 10,880	\$ 10,880	\$ 11,170	\$ 11,170	\$ 11,170
Interest Expense	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Earnings Before Taxes	\$ -	\$ 118,890	\$ 194,668	\$ 247,606	\$ 302,496	\$ 369,740
Taxes (6%)	\$ -	\$ (7,133)	\$ (11,680)	\$ (14,856)	\$ (18,150)	\$ (22,184)
Net Income	\$ -	\$ 111,757	\$ 182,988	\$ 232,749	\$ 284,346	\$ 347,555
Dividends	\$ -	\$ (11,176)	\$ (18,299)	\$ (69,825)	\$ (127,956)	\$ (156,400)

Waterboy						
Pro Forma Balance Sheets						
Years	0	1	2	3	4	5
Assets:						
Cash	\$ 100,000	\$ 166,750	\$ 312,502	\$ 446,109	\$ 584,209	\$ 767,956
Receivables	\$ -	\$ 7,585	\$ 9,102	\$ 11,469	\$ 13,189	\$ 14,772
Inventory	\$ -	\$ 16,500	\$ 19,800	\$ 40,550	\$ 58,291	\$ 65,286
Current Assets	\$ 100,000	\$ 190,835	\$ 341,404	\$ 498,129	\$ 655,689	\$ 848,014
Long Term PPE	\$ -	\$ 36,900	\$ 61,900	\$ 83,400	\$ 93,400	\$ 103,400
Gross Book Value Workbench	\$ -	\$ 900	\$ 900	\$ 1,200	\$ 1,200	\$ 1,200
Gross Book Value Laptop	\$ -	\$ 6,000	\$ 6,000	\$ 7,200	\$ 7,200	\$ 7,200
Gross Book Value App	\$ -	\$ 30,000	\$ 55,000	\$ 75,000	\$ 85,000	\$ 95,000
Accumulated Depreciation all PPE	\$ -	\$ 10,880	\$ 21,760	\$ 32,930	\$ 44,100	\$ 55,270
Net Book Value of Long Term PPE	\$ -	\$ 26,020	\$ 40,140	\$ 50,470	\$ 49,300	\$ 48,130
Total Assets	\$ 100,000	\$ 216,855	\$ 381,544	\$ 548,599	\$ 704,989	\$ 896,144
Liabilities						
Accounts Payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Salaries Payable	\$ -	\$ 16,274	\$ 16,274	\$ 20,404	\$ 20,404	\$ 20,404
Current Loans Payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Current Liabilities	\$ -	\$ 16,274	\$ 16,274	\$ 20,404	\$ 20,404	\$ 20,404
Long Term Debt	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Liabilities	\$ -	\$ 16,274	\$ 16,274	\$ 20,404	\$ 20,404	\$ 20,404
Owners' Equity	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Common Stock	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000
Retained Earnings	\$ -	\$ 100,581	\$ 265,270	\$ 428,195	\$ 584,585	\$ 775,740
Total Owner's Equity	\$ 100,000	\$ 200,581	\$ 365,270	\$ 528,195	\$ 684,585	\$ 875,740
Total Liabilities and Owners Equity	\$ 100,000	\$ 216,855	\$ 381,544	\$ 548,599	\$ 704,989	\$ 896,144

Waterboy						
Pro forma Statements of Cash flows						
Years	0	1	2	3	4	5
Net Income	\$ -	\$ 111,757	\$ 182,988	\$ 232,749	\$ 284,346	\$ 347,555
Depreciation	\$ -	\$ 10,880	\$ 10,880	\$ 11,170	\$ 11,170	\$ 11,170
(Inc)/Dec in Receivables	\$ -	\$ (7,585)	\$ (1,517)	\$ (2,367)	\$ (1,720)	\$ (1,583)
(Inc)/Dec in Inventory	\$ -	\$ (16,500)	\$ (3,300)	\$ (20,750)	\$ (17,741)	\$ (6,995)
Inc/(Dec) Accounts Payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Inc/(Dec) Salaries Payable	\$ -	\$ 16,274	\$ -	\$ 4,130	\$ -	\$ -
Cash Flow From Operations	\$ -	\$ 114,825	\$ 189,051	\$ 224,932	\$ 276,055	\$ 350,148
(Inc)/Dec in PP&E	\$ -	\$ (36,900)	\$ (25,000)	\$ (21,500)	\$ (10,000)	\$ (10,000)
Cash Used for Investments	\$ -	\$ (36,900)	\$ (25,000)	\$ (21,500)	\$ (10,000)	\$ (10,000)
Short Term Debt	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Long Term Debt	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Common Stock	\$ 100,000	\$ -	\$ -	\$ -	\$ -	\$ -
(Dividends)	\$ -	\$ (11,176)	\$ (18,299)	\$ (69,825)	\$ (127,956)	\$ (156,400)
Cash from Financing	\$ 100,000	\$ (11,176)	\$ (18,299)	\$ (69,825)	\$ (127,956)	\$ (156,400)
Cash Flow	\$ 100,000	\$ 66,750	\$ 145,752	\$ 133,608	\$ 138,099	\$ 183,748
Beginning Cash Balance	\$ -	\$ 100,000	\$ 166,750	\$ 312,502	\$ 446,109	\$ 584,209
Ending Cash Balance	\$ 100,000	\$ 166,750	\$ 312,502	\$ 446,109	\$ 584,209	\$ 767,956

MONTHLY SUMMARY PRO FORMA – YEAR 1

Waterboy														
Pro Forma Income Statement														
Months	0	1	2	3	4	5	6	7	8	9	10	11	12	Year 1
Revenue	\$ -	\$ 7,099	\$ 31,946	\$ 49,693	\$ 56,792	\$ 63,891	\$ 67,441	\$ 70,990	\$ 78,089	\$ 88,738	\$ 88,738	\$ 85,188	\$ 92,287	\$ 780,890
# of Customers	\$ -	100	450	700	800	900	950	1,000	1,100	1,250	1,250	1,200	1,300	11,000
Cost of Goods sold:	\$ -	\$ (22,283)	\$ (33,483)	\$ (41,483)	\$ (44,683)	\$ (47,883)	\$ (49,483)	\$ (51,083)	\$ (54,283)	\$ (59,083)	\$ (59,083)	\$ (57,483)	\$ (60,683)	\$ (581,000)
Water Bottle	\$ -	\$ 3,000	\$ 13,500	\$ 21,000	\$ 24,000	\$ 27,000	\$ 28,500	\$ 30,000	\$ 33,000	\$ 37,500	\$ 37,500	\$ 36,000	\$ 39,000	\$ 330,000
Shipping Costs	\$ -	\$ 200	\$ 900	\$ 1,400	\$ 1,600	\$ 1,800	\$ 1,900	\$ 2,000	\$ 2,200	\$ 2,500	\$ 2,500	\$ 2,400	\$ 2,600	\$ 22,000
Labor / Month	\$ -	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 16,500	\$ 198,000
Warehouse	\$ -	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 2,583	\$ 31,000
Gross Profit:	\$ -	\$ (15,184)	\$ (1,538)	\$ 8,210	\$ 12,109	\$ 16,008	\$ 17,957	\$ 19,907	\$ 23,806	\$ 29,654	\$ 29,654	\$ 27,705	\$ 31,604	\$ 199,890
Operating Expenses	\$ -	\$ (60,843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (843)	\$ (70,120)
General and Administration	\$ -	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 5,000
Sales and Marketing	\$ -	\$ 40,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 40,000
Overhead	\$ -	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 417	\$ 5,000
Website hosting	\$ -	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 10	\$ 120
Certifications & Licences	\$ -	\$ 20,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 20,000
EBITDA	\$ -	\$ (76,028)	\$ (2,381)	\$ 7,366	\$ 11,265	\$ 15,164	\$ 17,114	\$ 19,063	\$ 22,962	\$ 28,811	\$ 28,811	\$ 26,861	\$ 30,760	\$ 129,770
Depreciation:	\$ -	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 10,880
Interest Expense	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Earnings Before Taxes	\$ -	\$ (76,934)	\$ (3,288)	\$ 6,460	\$ 10,359	\$ 14,258	\$ 16,207	\$ 18,157	\$ 22,056	\$ 27,904	\$ 27,904	\$ 25,955	\$ 29,854	\$ 118,890
Taxes (6%)	\$ -	\$ 4,616	\$ 197	\$ (388)	\$ (622)	\$ (855)	\$ (972)	\$ (1,089)	\$ (1,323)	\$ (1,674)	\$ (1,674)	\$ (1,557)	\$ (1,791)	\$ 7,133
Net Income	\$ -	\$ (72,318)	\$ (3,091)	\$ 6,072	\$ 9,737	\$ 13,402	\$ 15,235	\$ 17,067	\$ 20,732	\$ 26,230	\$ 26,230	\$ 24,397	\$ 28,062	\$ 111,757
Dividends	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (11,176)	\$ (11,176)

Waterboy													
Pro Forma Balance Sheets													
Months	0	1	2	3	4	5	6	7	8	9	10	11	12
Assets:													
Cash	\$ -	\$ 6,704	\$ 2,103	\$ 7,473	\$ 17,383	\$ 31,034	\$ 46,808	\$ 64,340	\$ 85,171	\$ 111,432	\$ 138,644	\$ 164,090	\$ 166,750
Receivables	\$ -	\$ 583	\$ 2,626	\$ 4,084	\$ 4,668	\$ 5,251	\$ 5,543	\$ 5,835	\$ 6,418	\$ 7,293	\$ 7,293	\$ 7,002	\$ 7,585
Inventory	\$ -	\$ 675	\$ 1,050	\$ 1,200	\$ 1,350	\$ 1,425	\$ 1,500	\$ 1,650	\$ 1,875	\$ 1,875	\$ 1,800	\$ 1,950	\$ 16,500
Current Assets	\$ 100,000	\$ 7,962	\$ 5,778	\$ 12,757	\$ 23,401	\$ 37,710	\$ 53,851	\$ 71,825	\$ 93,464	\$ 120,601	\$ 147,737	\$ 173,041	\$ 190,835
Long Term PPE	\$ -	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900	\$ 36,900
Gross Book Value Workbench	\$ -	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900
Gross Book Value Laptop	\$ -	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000
Gross Book Value App	\$ -	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000	\$ 30,000
Accumulated Depreciation	\$ -	\$ 907	\$ 1,813	\$ 2,720	\$ 3,627	\$ 4,533	\$ 5,440	\$ 6,347	\$ 7,253	\$ 8,160	\$ 9,067	\$ 9,973	\$ 10,880
Net Book Value of Long Term PP	\$ -	\$ 35,993	\$ 35,087	\$ 34,180	\$ 33,273	\$ 32,367	\$ 31,460	\$ 30,553	\$ 29,647	\$ 28,740	\$ 27,833	\$ 26,927	\$ 26,020
Total Assets	\$ 100,000	\$ 43,956	\$ 40,865	\$ 46,937	\$ 56,674	\$ 70,077	\$ 85,311	\$ 102,379	\$ 123,111	\$ 149,341	\$ 175,571	\$ 199,968	\$ 216,855
Liabilities													
Accounts Payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Salaries Payable	\$ -	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274
Current Loans Payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Current Liabilities	\$ -	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274
Long Term Debt	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Liabilities	\$ -	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274	\$ 16,274
Owners' Equity	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Common Stock	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000
Retained Earnings	\$ -	\$ (72,318)	\$ (3,091)	\$ 6,072	\$ 9,737	\$ 13,402	\$ 15,235	\$ 17,067	\$ 20,732	\$ 26,230	\$ 26,230	\$ 24,397	\$ 16,887
Total Owner's Equity	\$ 100,000	\$ 27,682	\$ 96,909	\$ 106,072	\$ 109,737	\$ 113,402	\$ 115,235	\$ 117,067	\$ 120,732	\$ 126,230	\$ 126,230	\$ 124,397	\$ 116,887
Total Liabilities and Owners Equity	\$ 100,000	\$ 43,956	\$ 113,183	\$ 122,346	\$ 126,011	\$ 129,676	\$ 131,509	\$ 133,341	\$ 137,006	\$ 142,504	\$ 142,504	\$ 140,671	\$ 133,161

Waterbury													
Pro forma Statements of Cash flows													
Years	0	1	2	3	4	5	6	7	8	9	10	11	12
Net Income	\$ -	\$ (72,318)	\$ (3,091)	\$ 6,072	\$ 9,737	\$ 13,402	\$ 15,235	\$ 17,067	\$ 20,732	\$ 26,230	\$ 26,230	\$ 24,397	\$ 28,062
Depreciation	\$ -	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907	\$ 907
(Inc)/Dec in Receivables	\$ -	\$ (583)	\$ (2,042)	\$ (1,459)	\$ (583)	\$ (583)	\$ (292)	\$ (292)	\$ (583)	\$ (875)	\$ -	\$ 292	\$ (583)
(Inc)/Dec in Inventory	\$ -	\$ (675)	\$ (375)	\$ (150)	\$ (150)	\$ (75)	\$ (75)	\$ (150)	\$ (225)	\$ -	\$ 75	\$ (150)	\$ (14,550)
Inc/(Dec) Accounts Payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Inc/(Dec) Salaries Payable	\$ -	\$ 16,274	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Cash Flow From Operations	\$ -	\$ (56,396)	\$ (4,601)	\$ 5,370	\$ 9,910	\$ 13,650	\$ 15,775	\$ 17,532	\$ 20,831	\$ 26,261	\$ 27,212	\$ 25,446	\$ 13,836
(Inc)/Dec in PP&E	\$ -	\$ (36,900)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (36,900)
Cash Used for Investments	\$ -	\$ (36,900)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (36,900)
Short Term Debt	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Long Term Debt	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Common Stock	\$ 100,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
(Dividends)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (11,176)
Cash From Financing	\$ 100,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (11,176)
Cash Flow	\$ 100,000	\$ (93,296)	\$ (4,601)	\$ 5,370	\$ 9,910	\$ 13,650	\$ 15,775	\$ 17,532	\$ 20,831	\$ 26,261	\$ 27,212	\$ 25,446	\$ 2,660
Beginning Cash Balance	\$ -	\$ 100,000	\$ 6,704	\$ 2,103	\$ 7,473	\$ 17,383	\$ 31,034	\$ 46,808	\$ 64,340	\$ 85,171	\$ 111,432	\$ 138,644	\$ 164,090
Ending Cash Balance	\$ 100,000	\$ 6,704	\$ 2,103	\$ 7,473	\$ 17,383	\$ 31,034	\$ 46,808	\$ 64,340	\$ 85,171	\$ 111,432	\$ 138,644	\$ 164,090	\$ 166,750

BREAK EVEN ANALYSIS

Waterboy					
Breakeven Analysis					
Years	1	2	3	4	5
Revenue					
Price/ Unit	\$ 70.99	\$ 70.99	\$ 74.54	\$ 74.54	\$ 74.54
Avg Units/ Customer	1	1	1	1	1
Avg Rev/ Customer	\$ 70.99	\$ 70.99	\$ 74.54	\$ 74.54	\$ 74.54
Total Revenue/ Unit	\$ 70.99	\$ 70.99	\$ 74.54	\$ 74.54	\$ 74.54
Expenses	Total	% Fixed	Gross Fixed	Gross Variable	
COGS					
Production Cost	\$ (330,000)	0%	\$ -	\$ (330,000)	
Labor/ Yr	\$ (198,000)	100%	\$ (198,000)	\$ -	
Shipping Costs/ Yr	\$ (22,000)	0%	\$ -	\$ (22,000)	
Warehouse Lease	\$ (31,000)	100%	\$ (31,000)	\$ -	
OPEX					
G&A Cost/ Yr	\$ (5,000)	100%	\$ (5,000)	\$ -	
Marketing Cost/ Yr	\$ (40,000)	100%	\$ (40,000)	\$ -	
Overhead Cost/ Yr	\$ (5,000)	100%	\$ (5,000)	\$ -	
Website Hosting/ Yr	\$ (120)	100%	\$ (120)	\$ -	
Certifications & Licenses/ Yr	\$ (20,000)	100%	\$ (20,000)	\$ -	
Other					
Depreciation	\$ (10,880)	100%	\$ (10,880)	\$ -	
Total Expenses	\$ (651,120)		\$ (299,120)	\$ (352,000)	
Break Even Volume					
Fixed Costs	\$ (299,120)				
Depreciation	\$ (10,880)				
Weighted Average Selling Price	\$ 70.99				
Weighted Average Variable Cost/ Unit	\$ 32				
Contribution Margin/ Unit	\$ 39				
Break Even Volume(NI)	7671.71	7672			
Break Even Volume(CF)	7392.66	7393			

Based on our breakeven calculations, Waterboy must acquire approximately 7,672 customers to break even on a net-income basis, and 7,393 customers to break even on a cash-flow basis. Using the monthly customer acquisition projections in our pro forma statements, we see that Waterboy reaches this customer threshold at around Month 9 of operations.

CAPEX SCHEDULE

Waterboy					
CAPEX Schedule					
Years	1	2	3	4	5
Item					
Workbench	\$ 900	\$ 900	\$ 900	\$ 900	\$ 900
Depreciation	\$ 180	\$ 180	\$ 230	\$ 230	\$ 230
Acc Depreciation	\$ 180	\$ 360	\$ 540	\$ 720	\$ 900
Net Asset	\$ 720	\$ 720	\$ 670	\$ 670	\$ 670
Laptop	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000
Depreciation	\$ 1,200	\$ 1,200	\$ 1,440	\$ 1,440	\$ 1,440
Acc Depreciation	\$ 1,200	\$ 2,400	\$ 3,600	\$ 4,800	\$ 6,000
Net Asset	\$ 4,800	\$ 3,600	\$ 2,400	\$ 1,200	\$ -
App	\$ 95,000	\$ 95,000	\$ 95,000	\$ 95,000	\$ 95,000
Depreciation	\$ 9,500	\$ 9,500	\$ 9,500	\$ 9,500	\$ 9,500
Acc Depreciation	\$ 9,500	\$ 19,000	\$ 28,500	\$ 38,000	\$ 47,500
Net Asset	\$ 85,500	\$ 76,000	\$ 66,500	\$ 57,000	\$ 47,500
Net Book Value & Long Term PP&E	\$ 91,020	\$ 80,320	\$ 69,570	\$ 58,870	\$ 48,170
Workbench	5 Year Depreciation Schedule				
Laptop	5 Year Depreciation Schedule				
App	10 Year Depreciation Schedule				

We anticipate a 10-year depreciation schedule for our app and a 5-year depreciation schedule for our workbenches and laptops. Each workbench is projected to cost approximately \$300, and each laptop around \$1,200. Our plan is to provide a laptop to every employee, both full-time and part-time, and a workbench in the warehouse for all full-time employees.

CAPITALIZATION TABLE

Waterboy			
Capitalization Table			
SHAREHOLDER	Role	Common stock shares outstanding	% Ownership
Ronan Hwang	Founder & CEO	21,000	21.0%
Jordan Belfort	Vice President - Retail	20,000	20.0%
Peter Brand	Vice President - Operations	20,000	20.0%
Investors	Investors	39,000	39.0%
Total		100,000	100.0%

DEBT AND EQUITY FINANCING SCHEDULE

Waterboy						
Debt and Equity Financing Schedule						
Years	0	1	2	3	4	5
Common Stock	\$ 100,000	\$ -	\$ -	\$ -	\$ -	\$ -
Debt Raised	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Financing	\$ 100,000	\$ -	\$ -	\$ -	\$ -	\$ -

LABOR STAFFING SCHEDULE

Waterboy					
Labor Staffing plan					
Years	1	2	3	4	5
Positions					
CEO	\$ 56,000	\$ 56,000	\$ 64,000	\$ 64,000	\$ 64,000
CFO	\$ 56,000	\$ 56,000	\$ 64,000	\$ 64,000	\$ 64,000
COO	\$ 56,000	\$ 56,000	\$ 64,000	\$ 64,000	\$ 64,000
Data/ Software Engineer	\$ 15,000	\$ 15,000	\$ 18,750	\$ 18,750	\$ 18,750
Marketing Associate	\$ 15,000	\$ 15,000	\$ 18,750	\$ 18,750	\$ 18,750
Business Operations Analyst	\$ -	\$ -	\$ 18,750	\$ 18,750	\$ 18,750
Employee Hours					
CEO Hours/ Day	8	8	8	8	8
CFO Hours/ Day	8	8	8	8	8
COO Hours/ Day	8	8	8	8	8
Data/ Software Engineer Hours/ Dat	5	5	5	5	5
Marketing Associate Hours/ Day	5	5	5	5	5
Business Operations Analyst Hours/ Day	5	5	5	5	5
Labor Cost					
Labor Cost/ Week - CFO	\$ 1,400	\$ 1,400	\$ 1,600	\$ 1,600	\$ 1,600
Labor Cost/ Week - CFO	\$ 1,400	\$ 1,400	\$ 1,600	\$ 1,600	\$ 1,600
Labor Cost/ Week - CFO	\$ 1,400	\$ 1,400	\$ 1,600	\$ 1,600	\$ 1,600
Labor Cost/ Week - Data/ Software Engineer	\$ 500	\$ 500	\$ 625	\$ 625	\$ 625
Labor Cost/ Week - Marketing Associate	\$ 500	\$ 500	\$ 625	\$ 625	\$ 625
Labor Cost/ Week - Business Operations Analyst	\$ -	\$ -	\$ 625	\$ 625	\$ 625
Total Labor Cost	\$ 198,000	\$ 198,000	\$ 248,250	\$ 248,250	\$ 248,250

INDUSTRY FINANCIAL METRICS

LARQ is one of the closest analogs to Waterboy in the premium hydration hardware market. According to Forbes coverage, LARQ generated the following early-stage revenues:

- **Year 1:** \$5.5 million
- **Year 2:** \$9 million
- **Year 3:** \$14 million
- **2021:** ~\$20 million
- **Projected 2022:** \$30 million
- **Price Point:** \$78–\$120 per bottle
- **Distribution:** 70% direct-to-consumer
- **Funding:** \$11M Series A + \$1M from Shark Tank
- **Business Model:** High-quality hardware with no subscription revenue

LARQ's early growth provides one of the clearest benchmarks for premium hydration products. After launching its self-cleaning UV-C bottle, the company quickly scaled from \$5.5 million in Year 1 to an estimated \$20–30 million by Years 4 to 5. With a hardware-heavy cost structure and advanced purification components, LARQ operates with estimated gross margins of 35–50%. These metrics offer a relevant comparison for evaluating and comparing with Waterboy's five-year financial projections.

Waterboy shares several similarities with LARQ. Both companies sell premium hydration hardware and target wellness-oriented consumers. Waterboy's five-year revenue growth pattern also resembles LARQ's trajectory. However, Waterboy achieves its projected outcomes with dramatically lower upfront capital. While LARQ raised over \$12 million during its first years, Waterboy is seeking only \$100,000. Applying LARQ's funding-to-revenue ratio would imply that Waterboy's Year 1 revenue should be around \$1.3 million, which is more than our internal projections and highlighting strong capital efficiency.

From a return's standpoint, Waterboy projects higher potential margins and stronger returns on investment over the five-year horizon. Since Waterboy does not rely on complex sanitation hardware, operating leverage increases more quickly as sales increase. Thus, as Waterboy expands from IMG Academy into universities and eventually retail, its margins, digital engagement, and athlete-focused branding position it to outperform typical hydration hardware companies.

In summary, LARQ serves as a valuable industry benchmark and comparison in the premium hydration hardware market. Although Waterboy operates in a slightly different

segment of the market, the shared use of smart technology in both products makes the comparison meaningful. Waterboy's simpler hardware, stronger digital value proposition, and far more efficient capital structure position it for superior long-term margins, higher returns on invested capital, and broader market potential. These distinctions demonstrate how Waterboy fits within the premium hydration industry while offering a more scalable and financially robust business model.

TERMINAL VALUE/ VALUATION ANALYSIS

Waterboy					
DCF					
Years	1	2	3	4	5
FCF	\$ 77,925	\$ 156,240	\$ 190,804	\$ 234,440	\$ 289,071
WACC	20.0%				
Discounted FCF	\$64,938	\$130,200	\$159,003	\$195,366	\$240,893
Sum FCF	\$ 790,400				
Sales Multiple	3.0				
Terminal Value FCF	\$ 4,562,246.75				
PV of TV	\$1,833,464.65				
Enterprise Value	\$2,623,865				

We calculated Waterboy's Enterprise Value at the end of Year 5 using a Discounted Cash Flow approach, projecting free cash flows from Years 1–5 and discounting them at a 20% WACC. The terminal value, based on a 3.0x sales multiple of Year 5 revenue, results in a net terminal value of \$2,756,536, reflecting the long-term value of the business beyond the forecast period. The WACC and sales multiple were chosen based on current market benchmarks for the health-tech industry.

KEY MILESTONES/ IMPLEMENTATION TABLE

Waterboy	
Key Milestones	
Prior to Day 0	MVP's designed and tested Biometrics validated(heart rate, activity level, sweat loss) Sensor accuracy testing complete Market Research conducted and initial user feedback incorporated App bugs fixed and features implemented/ completed
Day 0	Secure \$100,000 investment, sign warehouse lease, purchase PP&E and train part time employees
Day 1	Start shipment of products, etc. Connect with IMG Academy, send shipment and begin to integrate with staff/ trainers
Y1 Q1	Beign mass production and Launch to IMG Academy (FL)
Y1 Q2	Leverage credibility from IMG to reach out to college programs Build college program pitch and slide deck Manage financial and change projections if needed
Y2 Q1	Implement Waterboy to 3-5 Universities (Miami, Florida State, Florida, FAU) Sign individual athletes (NIL deals) Expand thorough athletic dpeartments and campus bookstores Build goal driven interface for users Implement intial round of user feedback on Bottle + App
Y2 Q2	Redesign packaging for Waterboy Start application process for a part time Business Operations Analyst
Y2 Q4	Complete interview process for p.t. Business Ops. Analyst
Y3	Onboard and train new hire for expectations, operations, metrics, etc. Pitch to major retailers (e.g. Target, Amazon, Best Buy, Dick's etc.) Launch to retail stores and online channels Increase price moderately based on inflation and other factors Increase wages for employees Begin R&D for second model Pay higher dividends
Y4	Partner with professional athletes, launch large endorsment campains(i.e. Philip Rivers, Montez Sweat) Expand marketing to young adults and nationwide college programs. Continue to grow team partnerships to DII, DIII college sports Expand into additional sports (Baseball, Softball, etc.) Continue app development
Y5	Research shipping for better batteries, sensors and bottles Release second generation of Waterboy Expand globally to Asia and Europe

REFERENCES

Google Gemini *Google Gemini*. Google, 2025. Generative AI tool used for logo creation. <https://gemini.google.com/>

Microsoft Copilot *Microsoft Copilot*. Microsoft, 2025. AI assistant used for company name brainstorming. <https://copilot.microsoft.com/>

“Understanding the Costs in Water Bottle Manufacturing: A Breakdown for Buyers.” *TechBullion*, [https://techbullion.com/understanding-the-costs-in-water-bottle-manufacturing-a-breakdown-for-buyers/..](https://techbullion.com/understanding-the-costs-in-water-bottle-manufacturing-a-breakdown-for-buyers/)

Fan, Rick. “How a Metal Water Bottle Manufacturer Operates.” *Sibottle*, 19 Aug. 2024, [https://sibottle.com/how-a-metal-water-bottle-manufacturer-operates/..](https://sibottle.com/how-a-metal-water-bottle-manufacturer-operates/)

Aluminium Bottles Manufacturing Plant Project Report 2025: Costs & ROI. Procurement Resource, <https://www.procurementresource.com/reports/aluminium-bottles-manufacturing-plant-project-report..>

Zhang, Alice. “The Ultimate Guide to Water Bottle Manufacturing Costs.” *EverichHydro*, 27 May 2024, [https://www.everichhydro.com/the-ultimate-guide-to-water-bottle-manufacturing-costs/..](https://www.everichhydro.com/the-ultimate-guide-to-water-bottle-manufacturing-costs/)

Kriss, Randa, et al. “16 Business Startup Costs Business Owners Need to Know.” *NerdWallet*, 30 Sept. 2025, <https://www.nerdwallet.com/business/learn/business-startup-costs..>

“Corporate Income Tax.” *Florida Department of Revenue*, <https://floridarevenue.com/taxes/taxesfees/Pages/corporate.aspx..>

“Average Warehouse Rent Per Sqft in the United States? (2025).” *Red Stag Fulfillment*, [https://redstagfulfillment.com/warehousing-rates-per-square-foot-in-us/..](https://redstagfulfillment.com/warehousing-rates-per-square-foot-in-us/)

Mathis, Karen Brune. “Logistics: Northeast Florida Industrial Market Cooling Off.” *Jax Daily Record*, 23 May 2025, [https://www.jaxdailyrecord.com/news/2025/may/23/northeast-florida-industrial-market-cooling-off/..](https://www.jaxdailyrecord.com/news/2025/may/23/northeast-florida-industrial-market-cooling-off/)

Price, Lloyd. “Average Multiples in HealthTech M&A Deals: April 2024.” *Healthcare Digital*, 21 Apr. 2024, <https://www.healthcare.digital/single-post/average-multiples-in-healthtech-m-a-deals-april-2024..>

“The Cost for a School to Use a Product Varies Widely.” *Google AI*, 2019. (Note: This source needs a URL or publication title to be properly cited.)

